PROCUREMENT AND PAYMENT POLICY

Northwind Facilities Ltd
Version 3, effective 1 January 2026

1. Purpose

This policy sets out how Northwind Facilities Ltd buys goods and services and how supplier invoices are checked and paid. It applies to all employees who request, approve or pay for purchases.

2. Scope and Responsibilities

2.1 The policy covers all purchases of goods and services from external suppliers.
2.2 Budget holders are responsible for confirming that a purchase is needed.
2.3 The Finance team is responsible for checking invoices before payment.
2.4 The Finance Director owns this policy and approves any exception to it.

3. Supplier Onboarding

3.1 A new supplier must complete the supplier information form before the first order.
3.2 Bank details are verified by a call-back to a known telephone number.
3.3 Suppliers of maintenance services must provide evidence of public liability insurance.

4. Purchase Orders

4.1 A purchase order is required for every purchase above £1,000.
4.2 The purchase order must state the supplier, the description of the goods or services and the agreed price.
4.3 Where a signed contract exists, the purchase order must quote the contract number.

5. Invoice Matching

5.1 Before payment, Finance matches each invoice to the purchase order and, where one exists, to the signed contract.
5.2 The invoice amount, the supplier name and the payment terms must agree with the contract.
5.3 An invoice that does not match is placed on hold and returned to the budget holder.

6. Payment Runs, 7. Records and 8. Review

6.1 Payment runs take place every Thursday.
6.2 Only invoices that have passed matching are included in a payment run.

7.1 Purchase orders, contracts, invoices and approvals are kept for seven years.

8.1 This policy is reviewed every year by the Finance Director.

9. Approval of Deviations

9.1 A deviation is any difference between an invoice and the related contract or purchase order.
9.2 An invoice that exceeds the contract value, or that states payment terms different from the contract, must not be paid until written approval from the Finance Director is attached to the invoice record.
9.3 The approval must name the invoice number, the amount of the deviation and the reason it is accepted.
9.4 Without this approval the invoice remains on hold.